GLENFLOWERS LAND DEVELOPMENT PROSPECTUS

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ABC Asset Management
(A Registered Asset Management Company)
1 Endeavour Crescent
Mount Pleasant Business Park
Mount Pleasant
Harare
Tel #: + 263 4 369260-99/338076/338063
Fax #: + 263 4 338117
Mobile #: 0772 513304
Email: abcam@bancabc.co.zw

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THE GLENFLOWERS PROPERTY DEVELOPMENT OPPORTUNITY

1. EXECUTIVE SUMMARY

ABC Asset Management in partnership with its clients, intends to acquire a piece of land being Lot 1 of Glen Forest of Borrowdale Estate under Goromonzi Rural District measuring 37.5 Hactares. The proposed property acquisition is on the backdrop of an estimated 1.5 million housing unit backlog. The property is being bought for a short to medium term buy to sell strategy and has a strategic fit in managing the property portfolio total return. ABCAM intends to mitigate currency risk from a growing level of unfunded USD balances.
Below are some of the attractions for the property;

- Development costs relatively cheaper as some of the compliance documents are in place and
- Glenforest is 21km from Harare CBD and there are services close to the location (schools, shops and other amenities). It is 11kms from Sam Levy village. Given that development land is running out, land prices are going up and
- The stand sizes are meant for those who prefer bigger stands – there is a growing stock of stands between 250 and 400 sqms and ABCAM is targeting families that need bigger stand sizes.

The development project is expected to generate an internal rate of return above ABCAM's hurdle rate of 12.5%, which we consider to be fairly competitive.

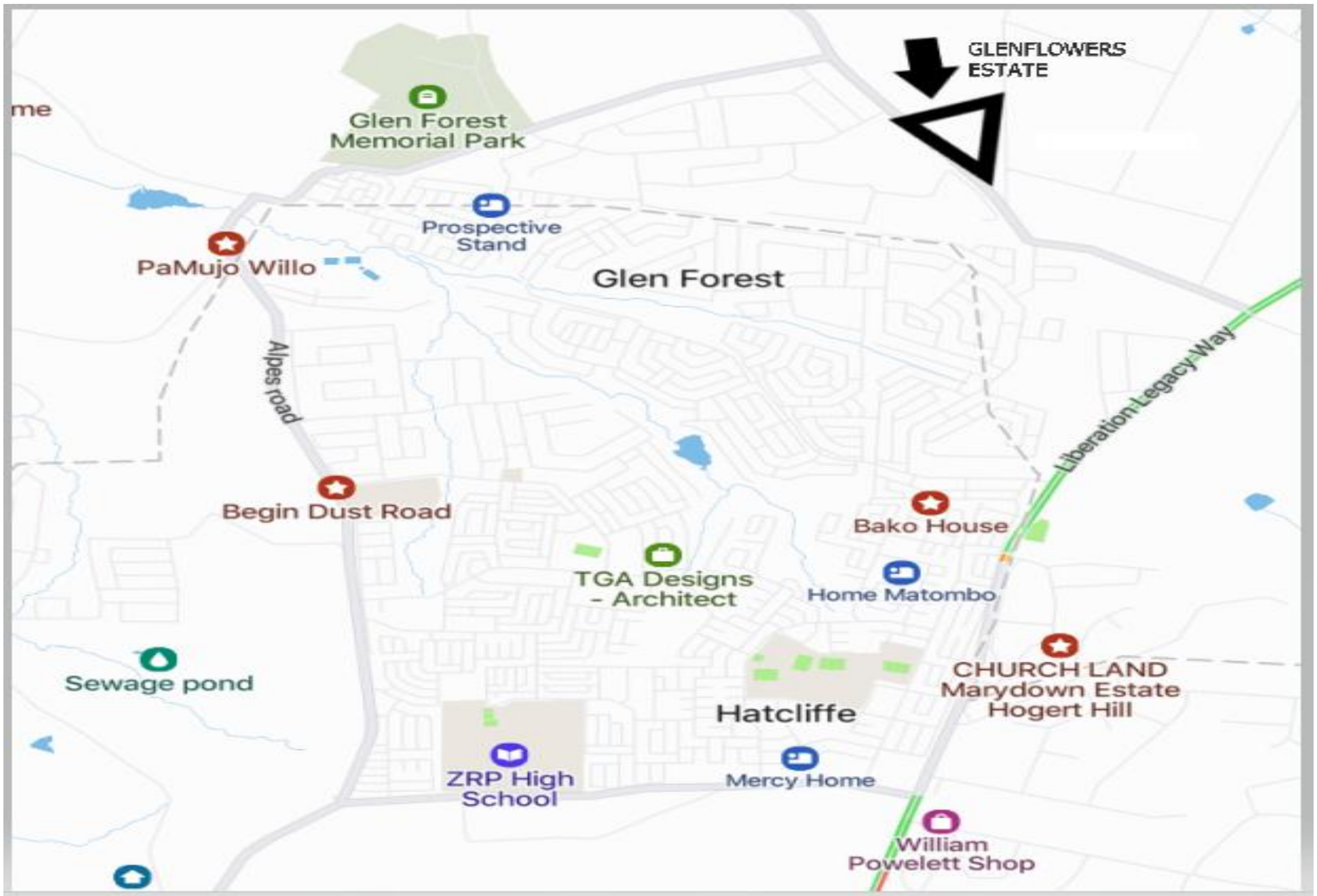
2. RATIONALE FOR THE PROPOSAL

In light of the increasing investment risks in the market place, this land development opportunity will assist your portfolio in the following ways;

- ✓ Managing overall portfolio risk through diversification into the property asset class whose returns may not be strongly and positively correlated with equities and money market. This means the investment can be a cushion in periods of negative stock market performance as property investment will likely offer steady returns.
- ✓ Buttressing the real asset exposure of your portfolio in order to protect against the risk of inflation and currency change which is widely feared under the current market conditions.
- ✓ The investment can be used to achieve the strategic asset allocation targets as set out in your Investment Policy Statements (IPSs).
- ✓ Bringing real value to some of the individual pension contributors who can be empowered through mortgages which are to be offered on an arm's length basis.
- ✓ The investment is in conformity with the Environmental, Sustainability and Governance (ESG) policy thrusts expected in the pensions market.

3. LOCATION AND SIZE OF LAND

Lot 1 of Glen Forest of Borrowdale Estate is located in Glen Forest under Goromonzi Rural District 21km from Harare CBD off Domboshava Road. The property is bound by Glen Forest Road to the East and Weston Road to the West. The property covers 37.4643 hectares in extent. Approximately 78.7% of this land is designated residential. A Google map is shown below for illustration.



4. ZONING RIGHTS AND DEVELOPMENT PARAMETERS

Ammendment Number 1 to permit Mash East 15/2020 subdivision of Lot 1 of Glenforest of Borrowdale Estate: Goromonzi District, in terms of Section 40(10) of the regional, Town and Country Planning Act (Chapter 29:12) provides for the following land use

Land Use Schedule

Landuse	No. of Stands	Area (sqm)	%age covered
Residential	206	294,712	78.7
Commercial	15	6,513	3.2
Institutional	2	7,213	1.9
Fuel Station	1	3,228	0.5
Open Space	9	12,474	1.9
Parking	2	5,276	1.4
Roads		46,455	12.4
Total	235	374,643	100

5. DEVELOPMENT MODEL AND KEY INFRASTRUCTURE CONSIDERATIONS

5.1 The product

The proposed end product of this development project will be **serviced stands within a gated community**. This reduces the development risk and time associated with construction of finished houses. For example, it will cost between $25,000 to $30,000 to deliver a serviced stand ($8.7million for the whole project) over a 9 month to 12 month period. It will cost upwards of $90,000 to deliver a completed house (>$18 million for the whole project over 2 years). ABCAM is however avoiding above ground development of housing units due to attendant risk and the marginal benefit of doing so.

5.2 Water

In terms of water supply will be served by boreholes which will be drilled within the property. A ground water survey (geological survey) was done and a yield of approximately 5.2m^3 per day was found on each site. The water from the boreholes will be pumped into a ground water reservoir which then distributes to all the stands.

5.3 Sewer

There stands will be served with onsite sewer treatment in the form of septic tanks in light of the average stand sizes of 1200 sqm.

5.4 Roads

Roads are expected to occupy 12.4% of the land area. The layout designs have to be cognizant of this to ensure viability. The idea is to have every house have access to an internal road. The road will be fully surfaced to local authority standards as per the subdivision permit.

6. PROJECT COSTS AND FINANCIAL MODEL

Normally it would be prudent to wait for the initial layout designs to be prepared as this would determine the positioning, quantities and sizes of the various infrastructures related to this project. However, this will serve as a reasonable guide for financial planning and profitability modelling of the project. Expert opinion was gathered in coming up with preliminary project costs and these are presented below, with critical assumptions highlighted:

6.1 Project Cost Estimates

6.1.2 The project costs are presented as follows.

Component	Cost (USD)	Total (USD)
PROJECT COST		
Land (Purchase price)		$2,800,000.00
Construction Cost	$ 5,665,000.00	
Project Preparation		
Cadastral survey	$ 90,000.00	
Designs and LA Approvals	$ 110,000.00	
EMA approvals	$ 10,000.00	
	$ 5,875,000.00	$5,875,000.00
TOTAL		**8,675,000.00**

Table 1: Project Cost Breakdown

6.1.3 The construction cost have been broken doen as follows:

Construction Costs	USD
Preliminaries and Generals	$ 500,000.00
Roads and stormwater (Inc Glen Forest Road)	$ 2,500,000.00
Water reticulation	$ 750,000.00
Water Reservoir	$ 450,000.00
Boundary wall	$ 450,000.00
Electrical reticulation and lighting	$ 500,000.00
Sub Total	**$5,150,000.00**
Add 10% contingencies	$ 515,000.00
TOTAL	**$5,665,000.00**

Table 2: Construction Cost Breakdown

6.1.4 Land available for sale

Land Use	No of Stands	Area (sqm
Residential	206	294712
Less Commonage	21	29471.2
Total Disposable	**185**	**265240.8**

Table 3: Total land available for sale

6.1.5 Cost per Square meter

Description		$/m2
Development/Construction cost		22.15
Land Cost		7.61
Total Project Cost		**29.76**

Table 4: Land per sqm

6.2 Projected Financial Returns

The project is being appraised based on ABCAM's hurdle rate of 12.5%. ABCAM has also built in sufficient contingent buffer which forms part of return if there are no sizeable price escalations.

PRELIMINARY DEVELOPMENT APPRAISAL				
Assumptions:				
Total Land Area (ha)	37.4643			
Developable Area (ha)	31.0438			
Roads(%)	12.40			
Open space(%)	1.90			
Endowment(%)	10.00			
Number of stands	206.00			
Stand size (m^2)	1200.00			
Price per m^2	48.00			
Price per stand	57600.00			
Development period (months)	9			
Opportunity cost on land p.a.	12.50%			
Finance cost p.a.	10.00%			
Estate Agent Fees	2.00%			
EXPECTED CAPITAL VALUE (# developable area x price)	13,410,922	**Base Case**	**Worst Case (costs)**	**Best Case (costs)**
less Marketing and Disposal costs	268,218.43	**All researched input cost**	**24% more than base**	**20% less than base**
Expected Net Capital Value		**13,142,703.17**	**13,142,703.17**	**13,142,703.17**
Development Cost		**7,000,000.00**	**8,675,000.00**	**5,600,000.00**
VAT		1,714,265.63	1,714,265.63	1,714,265.63
Tax		1,578,674.71	**1,148,199.71**	1,938,474.71
Total Expected Development Cost (incl. land cost, endowment etc)		**10,292,940.34**	**11,537,465.34**	**9,252,740.34**
RESIDUAL CAPITAL PROFIT		**2,849,762.82**	**1,605,237.82**	**3,889,962.82**
Profit as a % of Total Costs		**27.69%**	**13.91%**	**42.04%**
Profit as a% of Capital Value		**21.68%**	**12.21%**	**29.60%**
NPV		**1,027,203.64**	**-115,005.55**	**1,905,826.09**
IRR		**22.95%**	**11.43%**	**33.26%**
Metrics				
All in Cost per develepable area m^2		30.70	35.16	26.98
Additional C ritical Assumptions				
1.Endowment calculated using stands although it will be settled as cash consideration, which is significantly lower.				
NPV is based on total development cost including vat and tax. ABCAM however will sell the stands vat exclusive. There is scope to apply for tax exemption for pension funds				
All in costper developable area excludes VAT				

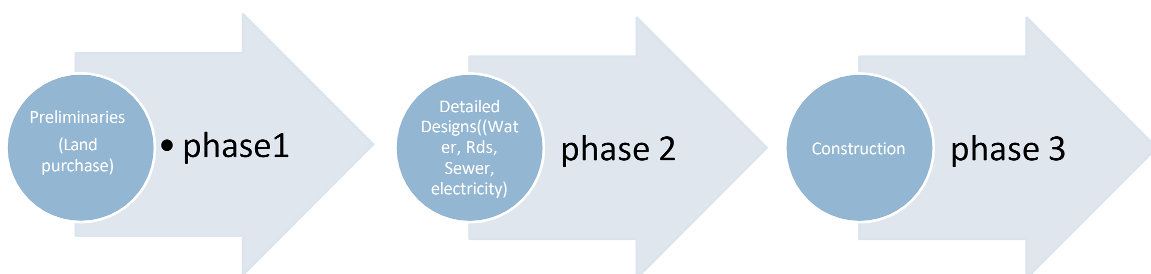
2.5 Estimated Project Duration

The estimated project completion time will be nine (9) months and it is anticipated to start the project in August 2025.

7. AN OVERVIEW OF STEPS TO BE FOLLOWED IN PROJECT IMPLEMENTATION

This section summarizes the critical steps which need to be followed from engineering design stage to construction of infrastructure and the likely timings, especially after Council Approvals. Figure 1 below and Table 1 in the appendix details the critical steps. _**The assumption is that only infrastructure will be implemented by ABCAM and the stands sold to individuals.**_ It is equally important to note that Real Estate experts will have to be involved in the early stages to help with an appealing final product.

Figure 1: AN overview of Stages to be followed in Project implementation



6. FUNDING STRUCTURE

A separate property trust fund is to be established in compliance with the Collective Investment Schemes Act and registered with the Securities and Exchange Commission of Zimbabwe. An application for registration is at an advanced stage and a favourable response is expected within the next 30 days. Funding for the project will be mobilised from ABCAM's targeted client list (including your fund) in exchange for property units in the investment fund to be named "The Glenfowers Fund". The project will be fully owned by the fund which in turn houses the interest of its unitholders / investors. In the circumstances, it is not envisaged that any debt financing will be utilised. The execution structure is attached to the appendix.

7. INVESTMENT CASHFLOWS

As shown in the table below, the first tranche of almost $3million will cover land purchase, transfer, permit and professional fees whilst the second tranche in Jan 2026 will cover the actual construction financing.

	Cashflow	Cashflow	Cashflow
26-Nov-24	- 220,000.00	- 220,000.00	- 220,000.00
28-Nov-24	- 280,000.00	- 280,000.00	- 280,000.00
07-Feb-25	- 127,000.00	- 127,000.00	- 127,000.00
11-Feb-25	- 3,000.00	- 3,000.00	- 3,000.00
05-Mar-25	- 770,000.00	- 770,000.00	- 770,000.00
20-Jun-25	- 470,000.00	- 470,000.00	- 470,000.00
04-Sep-25	- 200,000.00	- 200,000.00	- 200,000.00
09-Sep-25	- 230,000.00	- 230,000.00	- 230,000.00
17-Sep-25	- 250,000.00	- 250,000.00	- 250,000.00
07-Nov-25	- 50,000.00	- 50,000.00	- 50,000.00
30-Nov-25	- 200,000.00	- 200,000.00	- 200,000.00
01-Jan-26	-7,500,000.00	-8,800,000.00	-6,500,000.00
30-Dec-26	13,142,703.17	13,142,703.17	13,142,703.17
IRR	**22.95%**	**11.43%**	**33.26%**
NPV @12.5%	**1,027,203.64**	**- 115,005.55**	**1,905,826.09**

The above table assumes a selling price of $48/sqm (cash outflows factors income tax), whereas the table below assumes a selling price exclusive of VAT (cash outflows factors income tax).

	Cashflow	Cashflow	Cashflow
26-Nov-24	- 220,000.00	- 220,000.00	- 220,000.00
28-Nov-24	- 280,000.00	- 280,000.00	- 280,000.00
07-Feb-25	- 127,000.00	- 127,000.00	- 127,000.00
11-Feb-25	- 3,000.00	- 3,000.00	- 3,000.00
05-Mar-25	- 770,000.00	- 770,000.00	- 770,000.00
20-Jun-25	- 470,000.00	- 470,000.00	- 470,000.00
04-Sep-25	- 200,000.00	- 200,000.00	- 200,000.00
09-Sep-25	- 230,000.00	- 230,000.00	- 230,000.00
17-Sep-25	- 250,000.00	- 250,000.00	- 250,000.00
07-Nov-25	- 50,000.00	- 50,000.00	- 50,000.00
30-Nov-25	- 200,000.00	- 200,000.00	- 200,000.00
01-Jan-26	- 5,800,000.00	- 7,100,000.00	- 4,800,000.00
30-Dec-26	13,142,703.17	13,142,703.17	13,142,703.17
IRR	**41.37%**	**26.91%**	**54.42%**
NPV @12.5%	**2,520,861.81**	**1,378,652.62**	**3,399,484.26**

7. EXPECTED MARKET UPTAKE OF THE STANDS

At a macro level, the Harare city council has a housing waiting list of more than 500,000 units and this backlog is expected to keep on growing inspite of new property stock having being delivered in the market place. ABCAM's client book has up to 20,000 active pension contributors who on an arm's length basis can form part of the target market in line with the objective of empowering pension members directly. ABCAM is convinced that it will be able to sell all the 206 stands for cash or through mortgages, where an estimated monthly repayment of $900 on a 30% downpayment for 5 years is within reach of some of potential client base. According to 2022 ZIMSTAT report, approximately more than 900,000 people were living abroad and the number has grown post Covid-19. This group forms a captive market for these stands as well. Although the zonation of this project is in the lower density, it will still be able to attract both low and medium income buyers. Furthermore, the project is in a well-developed area in which the major services are already in place. Other recent projects in the area, like North gate, are now sold out which reduces competition.

8. THE INVESTMENT CASE

- A recent valuation of the land carried out by Dawn Property Consultants showed that the land is worth $2,600,000 or $6.94 per sqm. Land of this size and location is now very rare to find which increases investment potential.
- Development is expected to span over a period of 9 months. The idea is to develop infrastructure like internal roads, electricity water & sewerage connections at the cheapest possible cost.
- According the base case in table 6.4, Net income of $4.4 million is expected from total stand sales of $13.4 million when the stands are sold at $48/sqm exclusive of vat. This generates an internal rate of return of 22% which is quite attractive.
- The ESG impact is the creation of a community of at least 206 households in which some 900 people will be accommodated. The internal services to be provided will also create employment. The project will advance the interests of society in general.
- The project assist pension funds and investors in managing both nominal and real returns and the quality of such returns through risk diversification.

8. EXIT OPTIONS FOR INVESTORS

- ABCAM intends to partner with BancABC ("the bank") to offer mortgage loans for the purchase of the stands at competitive interest rates. An active discussion in underway to ensure that the mortgage facilities will be in place on completion of the project.
- Depending on market conditions on the date of completion, the stands can be sold for cash creating immediate exit for investors or held in the Glenflowers fund to protect value.
- ABCAM is also following closely the development of the Real Estate Investment Trusts (REITs) in the market with a view to converting its proposed investment vehicle into an arrangement that can offer Mortgage Backed Securities which presents another exit route.

8. PROJECT EXECUTION

- The governance framework for investor interests would have to be a Property Unit Trust registered by SEC under the Collective Investment Schemes Act.
- ABCAM has started the process of hiring a project manager who will coordinate all construction activities.
- The hiring of other professionals and contractors would follow ABCAM's procurement policy.
- Investors will be updated in the usual quarterly meetings or at any other time as requested.
- A project timeline in shown in the appendix.

2.9 Pending issues and Follow ups.

Key issues for consideration

1. There are outstanding consultancy fees which ABCAM may need to negotiate and settle prior to commencement of outstanding construction works. These have been included in the cost buildup of the project.
2. The Bank will be required to pay submission fees to Ruwa Local Board for roads and stormwater drainage design approvals prior to commencement of construction works.

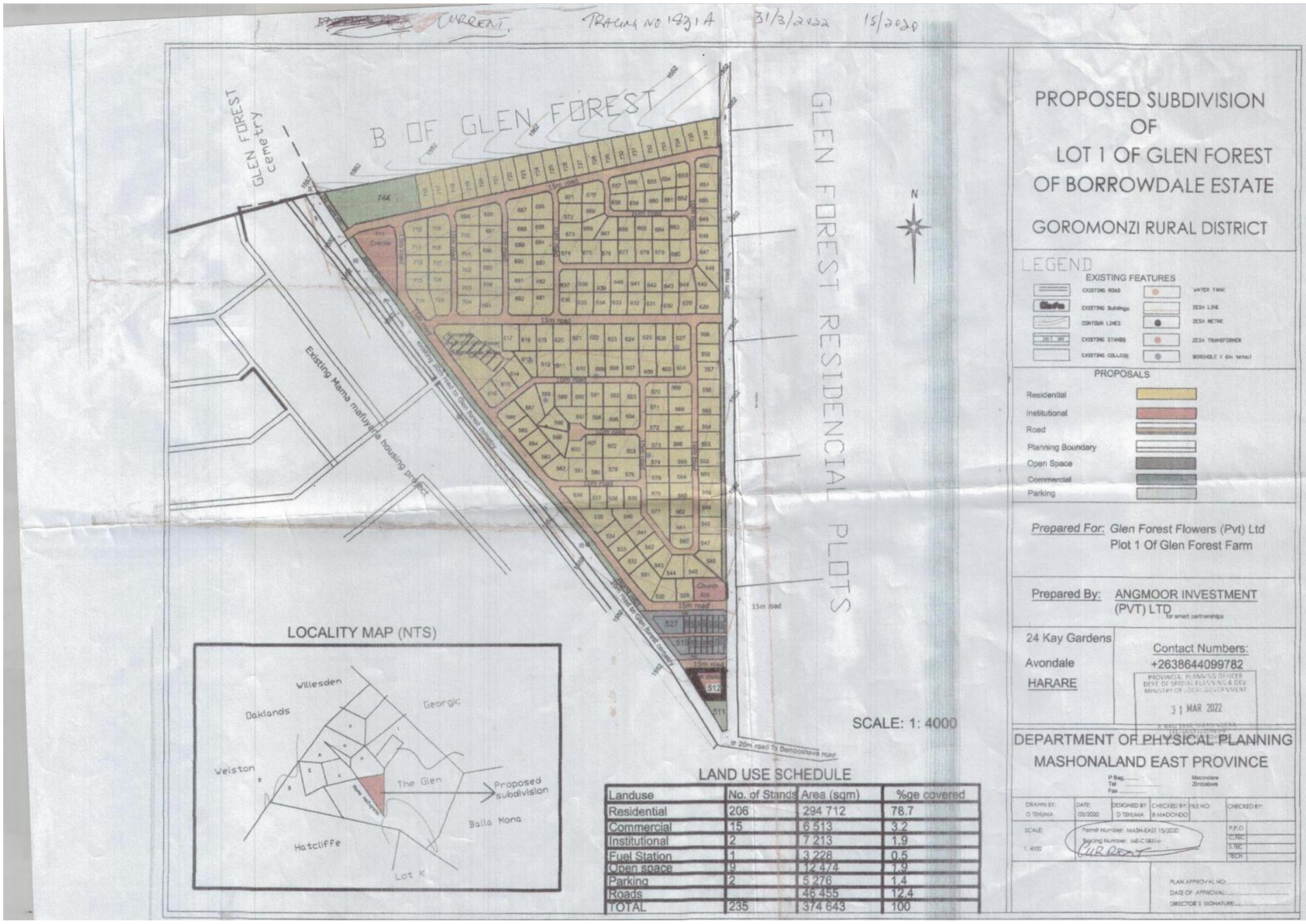
2.91 Project Status

KEY MILESTONES	STATUS
Subdivision Permit	Granted
Surveyor General Approval	Approved. Title survey to be completed.
EMA Certification	Paid for, awaiting Certificate
Local Authority Approval of designs	
Development Permit	Outstanding
Roads and Stormwater Drainage	Outstanding
Water Reticulation	Approved
Sewerage Reticulation	Approved
Construction Works	
Roads and Stormwater Drainage	Not yet commenced.
Water Reticulation and reservoir	Not yet commenced.
Electrical reticulation and lighting	Not yet commenced.
Boundary wall	Not yet commenced.

9. Risk analysis

Risk	Mitigation
Inflation - this is in relation to escalation of prices of materials	EPC contract and pre-purchase of materials for construction of works to hedge this risk.
Weak Demand - where the projects terminates in a market in which there is currency stability and weak household income	A Mortgage programme will avert the adverse effects
Extreme currency weakness resulting in monocurrency	The stands can be held in client investment portfolios as a good store of value
Reputational risk - if project is not delivered to satisfaction	Hiring of a professional project manager to assist Management and the Board in executing the project
Project delays	• Hiring of a professional project manager to assist Management and the Board in executing the project. • Penalty clauses to be included in contracts and evoked where delays are caused by equipment hirers and other sub-contractors. • Strict supervision of the EPC contractor during execution of works. • Immediate processing of applications for outstanding regulatory approvals. • Commencement of procurement of materials and subcontractors.
Failure of financial closure	The existing portfolio has sufficient demand, however other pension funds not currently in the ABCAM book have already been sensitized and indicated interest in light of the current economic challenges

APPENDIX 2: TYNWALD LDP NO.24 PROPOSALS PLAN



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Fuel Station	1	3 228	0.5
Open space	9	12 474	1.9
Parking	2	5 276	1.4
Roads		46 455	12.4
TOTAL	235	374 643	100

APPENDIX 3: EXECUTION STRUCTURE

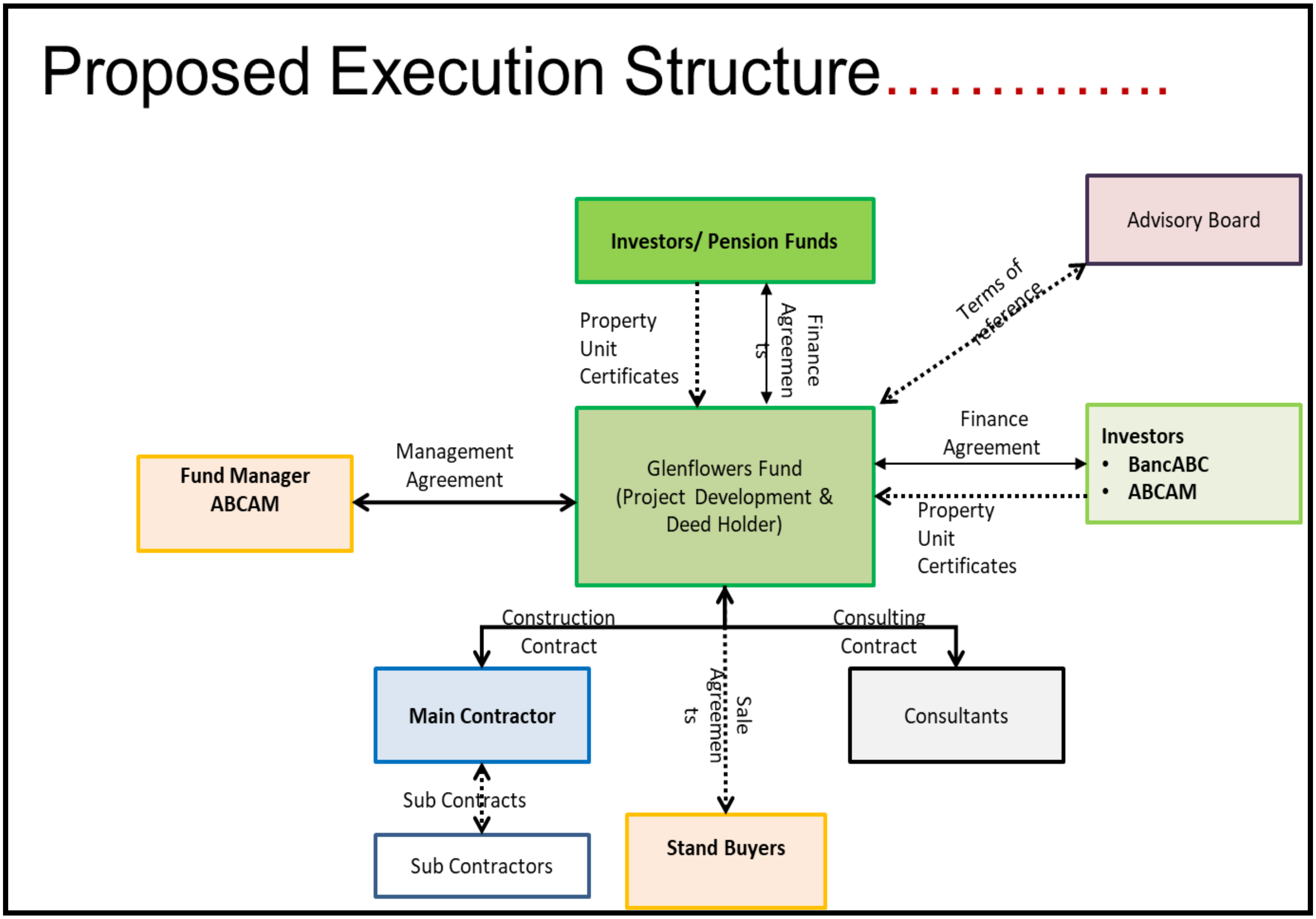

Figure 2 details the various stages, the actors involved and the proposed duration of activities